PRIORITY 6 OF 33 · SCORE 3.7

Transportation

DOT's money flows mostly as highway, transit and airport grants to states, which then hire contractors. Its signature fraud is the Disadvantaged Business Enterprise (DBE) front: a certified small firm that passes work and money through to a large contractor. That is the same pattern as SBA 8(a) and set-aside fronts, so the SBA pipeline carries over directly. Bid rigging on highway lettings is the second pattern.

INVESTIGATIONS WE PROPOSE

DOT-1	DBEs sharing identifiers with their prime or working for one prime only. **First prototype.** One-page pitch available.
DOT-2	Bid rotation from full state bid tabs.
DOT-3	DBE commitments at award that never appear in subaward reports.

EXPOSURE

- Over $125B a year in outlays, most of it federal-aid construction under the 2021 infrastructure law.
- DBE pass-through fraud is a recurring DOT OIG and DOJ case type, including criminal convictions and False Claims Act settlements.
- DOT does not report a high-risk improper payment program, so most exposure is procurement fraud that payment sampling does not see.

PUBLIC DATA WE USE

- **USAspending grants and subawards** for FHWA, FTA and FAA.
- **State Unified Certification Program DBE directories:** certified firms, owners, addresses, work codes.
- **State DOT bid tabulations** (many states publish every bid per letting).
- **SAM.gov, FPDS** for direct DOT contracts.
- **DOT OIG and DOJ press releases** as labeled cases.

HOW WE DETECT IT

1. **DBE fronts:** certified firms that share addresses, phones or officers with their prime contractor, have no equipment or staff signals, or work almost only for one prime.
2. **Bid rotation:** bidders who take turns winning, submit complementary high bids, or share ownership across "competing" firms.
3. **Subaward anomalies:** DBE participation claimed on bids that never shows up in subaward reporting.

SCORECARD

Fraud savings identified
● Pending

Phase 1 window
Weeks 7–10
Dec 14, 2026 to Jan 22, 2027

Workstream
Wave 1 and Wave 2 deep dives

FY2026 outlays
$125B · budget rank 10

Leads go to
DOT OIG, FHWA Civil Rights, PCSF

WHY PRIORITY 6

Exposure	●●●○○
Public data	●●●●○
SBA method fit	●●●●●
Actionability	●●●○○

FIRST PROTOTYPE

A DBE integrity screen for two or three states with good public directories and bid tabs. Reuse the SBA entity-resolution code; rank firms with reasons; validate against charged DBE cases.

OUR REVIEW, DELIVERED WEEK 10

DBE integrity screen and bid rotation report for three states; review memo; method note for other states.

Every lead goes to an Inspector General or DOJ as a referral package with sources and caveats. Nothing is published.

WHAT WE ASK OF DOT

Phase 2 data: Prime-to-DBE payments, state DBE review files.

What it enables: Proof of pass-through: money in versus work done.

Access route: State DOTs; DOT OIG.

LIMITS

Prime-to-subcontractor payments are reported to states, not publicly, and data quality varies by state. Results point to firms worth review, not proof.

SOURCES

- DOJ: Pennsylvania man convicted of exploiting the DOT DBE program
- DOJ: Ohio construction firm pays $500K over DBE False Claims Act allegations
- Troutman: continued prosecution of DBE pass-through cases
- USAspending agency profiles (FY2026 outlays)

Scores and plans are our judgment from public sources. Risk indicators are leads for Inspectors General or DOJ, not accusations.

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